Unit-5

Market segmentation, Targeting and Positioning Strategies

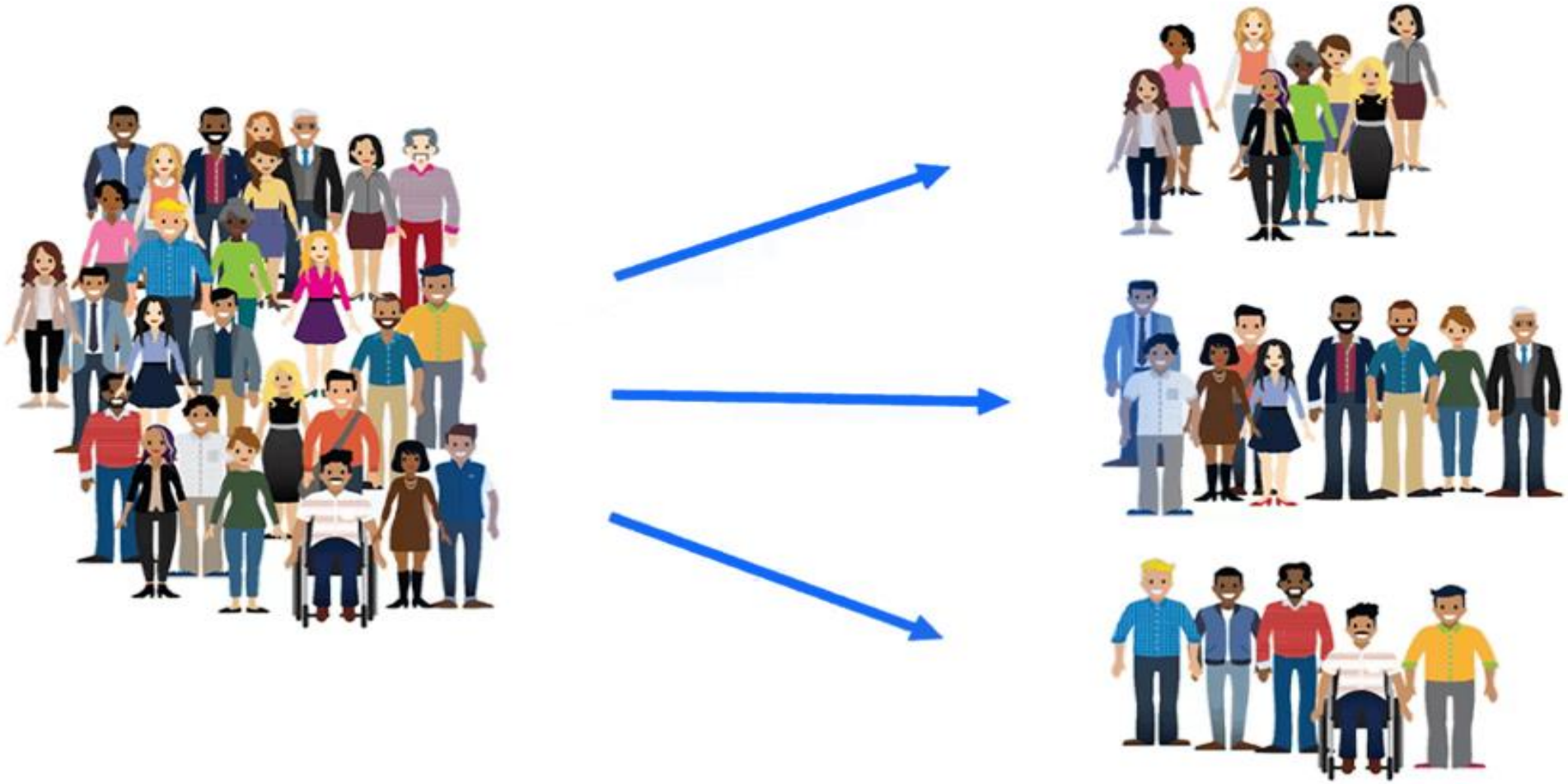
Concept, process, requirements of market segmentation.

Bases for segmenting consumer and organizational markets.

Segment evaluation, analysis and selection

Concept and types of positioning; product positioning process

Market Segmentation & Survey Research



Market Segmentation (Segregation)

- Simple term: Dividing the market into different groups
- Market segmentation means breaking total market into pieces so that each piece has customers with similar characteristics, needs.
- In other words, market segmentation is the process of dividing the total market into large homogeneous groups of customers who share similar needs and characteristics.
- Every product is not required by everybody. So, market segmentation determines who is in your target market and who is not. Eg.: easy detergent liquid, Johnson's product
- It is customer-oriented philosophy. (micro marketing)
- Opposite of segmentation is <u>mass marketing</u>: when seller engage in the mass production, mass distribution and mass promotion of one product for all buyers. Like toothpaste, salt, cold drink etc.

Benefits of market segmentation

1. Efficient and effective way of serving target market
2. Better analysis of competition
3. Advantages of quick response to the changing market needs
4. Enables efficient resource allocation
5. Enable to formulate effective strategic planning

Process of market segmentation

a) **Identify market segments**: The process of market segmentation begins with the identification of the market segments. A marketer should know to whom he is going to sale his products. On the first side, marketer may not be able to identify the particular segments. He may make his market identification effective and meaningful by focusing on such factors as consumer's taste, need, preferences, age group, consumer size, gender, product characteristics. Eg: garments for teenager, adult, kids

b) **Develop profiles of each segments**: After successfully identification of market segments, a marketer should analyze each segment to determine their similarities, and dissimilarities. Each segment has distinct characteristics which a marketer needs to understand. For each segment, a separate profile needs to develop. And, different marketing strategy is also required for each market segment. E.g. you may develop profiles for girls, boys, kids, adults, etc.

c) **Evaluate market segments:** In this stage, the marketer should evaluate the profit contribution expected from each segment. A marketer may consider the following aspects while evaluating market segments,

- Predict demand for each component of a product market.
- Analyze competitive position of the company in each segment
- Predict segment size and profit size
- Analyze and assess the potential corporate goals and objectives in the market segment.

And all the possible opportunities from all segments should be listed properly. E.g. here you may evaluate either girls, boys, kids, or adults who prefer more new garments.

d) **Select target market** (best market segment): After the proper evaluation of each market segment, a marketer finally selects the best market segment. The best market segment is one that holds greater opportunities for the firm. Here, the opportunities are concerned with the profits, business firm's image, meeting firm's goals & objectives, strengthening firms competitive position in the market, enhancing firm's sustainability, etc. The selected segment is referred to as the target market. If a business firm feels that it can enter into more than one market segment because of adequate opportunities, it selects more than one segment. E.g. here you may target teenagers with targeting adults.

e) **Develop a positioning strategy:** After the selection of a target market, the marketer needs to develop a product positioning strategy. The marketer needs to identify the attributes and images of each competitor's products and choose a position of its product for making the target market more accessible. Because immediately after selecting a target market, the marketer can not reach quickly to the market as the product may be quite new for the market or the market may be quite new to the firm. For reaching the target market, the marketer must develop a positioning strategy that can best appeal to its potential customers within the descriptive or functional discipline.

f) **Establish a marketing plan and program**: As the ultimate goal of market segmentation is to understand the target market and apply accordingly marketing strategy to make them satisfied and achieve businesses objectives. To make an effective marketing plan and program the marketer can use various components of the marketing mix to communicate with the target market easily. And, finally, marketer may implement his positioning strategy to achieve organizational objectives. In addition, he also needs to review the performance of the marketing plan and positioning strategy, either it is going as planning or not.

Requirements for an effective market segmentation

- Effective segmentation should be measurable, accessible, substantial, differentiable, and stability. When a company has segmented their market accordingly, there is a higher chance that it will become more profitable and successful in the long run.

1. **Measurable** (identifiable): differences in customer response should be clearly identified or measured. (how many customers i.e. 100, 1000 customers, are there in your one segment-census data can be useful for this) size, needs and purchasing power, characteristics of the customer must be measurable.
2. **Accessible** (reachable): marketers must be able to reach to the segments targeted. The major means of reaching to the segments are promotional tools like- ad in TV, newspaper, radio etc. and distribution channels like-specialized agents, wholesalers, retailers etc.

3. **Substantial** (to be profitable): segmentation is a quite expensive task, so it must be able to create enough demand for the company's product.(Eg: Rs 100=profit then Rs 10 profit from one customer, need to sell 10 customer.) if the marketer fail to make segments create enough demand for its products, then the objective of market segmentation cannot be fulfilled. A market segment need not be a large enough to be profitable, adequate profits can be generated even from a small segment.
4. **Differentiable**: the buyers in a segment responds differently to a marketing mix. If they respond differently, market segmentation became more meaningful, that is, customers of each segment should respond differently. Eg: Colgate regular and Colgate kids.
5. **Stability**: once a market is segmented, it must be sufficiently stable over a time period. This is because it requires sufficient time period to recover the investment made in market segmentation in one hand, and on the other, objectives of market segmentation are of strategic in nature which requires a long time to achieve.

Levels of market segmentation

- There are different levels of market segmentation, each of them holds certain uniqueness that a marketer needs to be serious about while producing, promoting, or distributing products/services to target customers.

1. **Mass marketing**: seller offer same product for all the buyers with different needs and seller engages in the mass production, mass distribution and mass promotion of <u>one product for all buyers.</u> In this case, the size of market will be larger and the promotion and advertising expenses becomes generic in nature to attract the entire customers. Eg: toothpaste, salt, cold drink etc. Mass marketing helps firms to get larger markets, more sales, and more profit but it also creates a high level of competition.
2. **Segment marketing**: in this level of market segmentation, a marketer divides a total market into several segment depending upon the needs, problems, requirements, buying behavior, purchasing capacity, social class and then select some of the segments to sell his entire range of products. Eg. a car company differentiates its cars as low-cost car, luxurious driving experience, performance-based, etc.

3. **Niche marketing**: Niche marketing is the highly specialized level of market segmentation, where the marketer only focuses on specific customers, their distinct need, want, and characteristics. The firm concentrates only on a specific market segment, thus it is also called concentrated marketing. Eg: marketing may be a sports car company, where the company only focus on the need and requirements of sports personalities. It does not concentrate on others aspects such as family need, price, etc.
4. **Local marketing:** it focus on brands and promotion to the needs and wants of local consumer and design marketing program according to the need of local consumer groups, cities, neighborhoods and even specific stores. Eg: a farmer market and sells his vegetables to his neighborhoods, his communities people, and other persons of his village.
5. **Individual marketing**: it is almost as direct marketing where the marketers target the individual customers separately either through direct communication channels or salesmen. This is mostly used for B2B marketing where more attention is required to market a product or service. It may require product demonstration to the individual customers and home services and installation. Eg: Aqua guard water purifier, tailoring business, beauty parlor etc.

Bases for segmenting consumer markets (market segmentation variables)

- Consumer market is market of people who buys for personal or household use. All the people of the world are consumers.

1. **Geographic segmentation** (variables): geographical segmentation tries to divide markets into different geographical units:
   - Regions: by continent, country, state or even neighborhood.
   - Size of the area: segmented according to size of area like Nepal can be segmented into 7 province, 14 zones and 77 districts
   - Population density: segment according to urban, suburban to rural
   - Climate: according to weather patterns common to certain geographic regions.
2. **Demographic segmentation:** demographic segmentation consists of dividing the market into groups based on variables such as:
   - Age: child, young, teenage, middle age, old age
   - Gender: male or female
   - Family size: joint, single, small or average family
   - Education: Illiterate, primary, secondary, graduate, post graduate
   - Occupation: unemployed, student's, service holders, professional, self employed, farmers, retired etc.

- Income: high, middle or low income
- Social class: upper, middle or lower class
- Ethnicity: cast, nationalities or ethnic groups
- Religion: Buddhist, Muslim, Hindu, Christian etc.

3. **Psychographic segmentation**: psychographic variables describe consumers in terms of psychological and behavioral dimensions.
   - Buying motives: rational motives (economy, durability, efficiency, convenience), emotional motives (love, affection, friendship, belongingness), ego motives (status, respect, prestige, recognition)
   - Life style: activities (work, hobbies, vacation, entertainment, shopping, sports), interests (family, home, job, fashion, food, hobbies), opinions (self, politics, business, culture etc.)
4. **Behavioral segmentation**: it is based on actual customer behavior towards products
   - Occasions: regular, special
   - Benefits: satisfaction and outcomes or buying products
   - User status: regular user, first time, ex-user, potential user or non user
   - Usage rate: heavy, medium, light user
   - Loyalty status: hard core, split loyal, shifting loyal, switchers
   - Attitude toward product: enthusiastic, positive, negative, indifferent, hostile (aggressive)

Bases for segmenting organizational markets

- Organizational market is a market of institutions who buy for manufacturing, reselling, providing service to customers.

1. **Use of product**: it is concerned with the purpose of using products or how the customer will use the product. Like: different consumer group may use a car differently. Some prefer high speed car, some prefer low speed, some use same car as a 'Taxi'. On the basis of the group purposes, an industrial market may be segmented. Other example is use of refrigerator.
2. **Buying characteristics**: it includes price sensitivity, importance of services, types of purchase (first purchase or second purchase), requirement of home delivery, buying procedures etc. On the basis of these buyer characteristics, marketers need to segment market into small segments.
3. **Size of market or size of purchase**: what will be the lot-size per purchase (lot size basically refers to the total quantity of a product ordered for manufacturing). If customer lot size become larger but their amount size becomes weaker, then this types of segment may not be suitable at any cost. Again if the lot size purchase is low, profit to the firm becomes higher, then also does not contribute significant benefits to the firm from strategic point of view. So a firm should select a large market whose size of purchase is quite enough.
4. **Geographical areas**: demand for most of the industrial products are urban-oriented. So a firm producing industrial product should focus on city areas. If a firm is an international company, it should classify foreign countries into various segments on the basis of their level of industrial development, nature of industries and their brand preferences because these are the basic forces that predict the future market for the firm products.

Segment evaluation, analysis and selection

- **Segment evaluation and analysis**: before selecting a target market, marketers have to critically evaluate and decide how many or which one segment to serve in order to acquire more opportunities from the desired market segment. There are 3 tools available for evaluating market segment:

1. **Size and growth of segment**: a market segment must have a right size. A right size is one, which is manageable and profitable. Large companies usually prefer large segments while small prefer small segment. Similarly, the market segments must have appropriate growth characteristics in terms of sales and profit size.
2. **Structural attractiveness of segment**: A segment might have desirable size and growth and still not be attractive from a profitability point of view. The five threats that a company might face are: (porter model)
   - Number of competitors and their strength
   - Rate of new entrance in the target market
   - Availability of potential substitutes in the market
   - Bargaining power of buyers
   - And bargaining power of suppliers

Profitability to the company may exist if the following conditions are fulfilled:

- If the number of competitors are less and they are weak
- If there exists enough barriers to new entrants in the target segment
- If there is not exist potential substitutes for the products
- If the bargaining power of buyers and the major suppliers of the company is weak.

3. **Company objectives and resources**: Even if a segment has positive size and growth and is structurally attractive, the company needs to consider its own objectives and resources in relation to that segment. A market segment must be able to achieve company's desired goal. Similarly, the company must have adequate resources in terms of finance, manpower and skill to manage market segments properly and successfully run the market.

Segment selection (Target market)

- After various forces are being properly evaluated, then the marketer's task is to select a best market segment where they want to serve. Such market segment is known as 'Target Market'.
- Target market is a group of customers that the business has decided to sell their product or service.
- While selecting target market marketers have to face several problems regarding the market coverage.

1. **Single-coverage market (segment)**: In the simplest case, the company selects a single segment. This company may have limited funds and may want to operate only in one segment. It is a 'niche market' or 'pocket market'. Here the company enjoys many operating economies through specialization of its production, distribution and promotional risks. Eg: Soltee Hotel targets only foreigner high pay guest, BMW car, Iphone, Rolex etc.

Product	**P3**			
	P2			
	P1			
		M1	M2	M3

Market segments

2. **Limited coverage market**: in this market coverage, the company concentrates on only certain selected segments (more than one segment), may be two or more than two segments, but it does not cover all segments. Under this coverage, <u>three</u> types of market segments can be developed:

a) **Product specialization**: (single product for many markets) Here the firm concentrates on marketing a single product that it sells to several segments. Through this strategy, the firm builds a strong reputation in the specific product area. Eg Levi's Jeans is popular all over the world

Product	**P3**			
	P2			
	P1			
		M1	M2	M3

Market segments

b) **Market specialization**: (many product for single market) Here the firm concentrates on serving many needs of a particular customer group. Eg. Baltra electronics

Product	**P3**			
	P2			
	P1			
		M1	M2	M3

Market segments

c) **Selective specialization**: (many product for many markets) Here a firm selects a number of segments, each of which is attractive and matches the firm's objectives and resources. This strategy of 'multi-segment coverage' has the advantage over 'single-segment coverage' in terms of diversifying the firm's risk i.e. even if one segment becomes unattractive, the firm can continue to earn money in other segments. In this case marketer can select a local market also. Eg: Unilever company, Hyundai, Surya Tobacco etc. sell different quality product in the different segments.

Product	P1			
	P2			
	P3			
		M1	M2	M3

Market segments

3. **Full coverage market**: Here the firm attempts to serve all customer groups with all the products that they might need. Only large firms can undertake a full market coverage strategy. This is a high sales strategy. It is also called mass marketing or marketing aggregation. Eg: coca-cola,

Product	P1			
	P2			
	P3			
		M1	M2	M3

Product positioning

Concept: (company's image)

- Positioning means the act of building the company's image and value in the market.
- In general, Product's position is place the product occupies in consumers mind relative to competing products.
- In brief we can say, Positioning is the process of creating a distinct mental position or image of a product or service in the mind of the customers as compared to the other brand in the market.
- Eg: noodle-wai wai or RaRa, cold means CocaCola, dandruff shampoo- head and shoulder, patanjali for purity, Nike and Addidas for sport, mountain due -…., Dove-…..
- Products are made in factories, but brands happen in the minds of the customers.
- Every product may have taken positive or negative position in the head of the customer. Therefore it is the responsibility of marketers to make sure that their product takes positive position in mind through good marketing.

Types of product positioning

1. **Attribute positioning**: it is the popular tools that marketers often use. Marketers do positioning their product as high quality, export item, durability, taste and low price.
2. **Benefit positioning**: what you get after using the product is highlighted. The marketer promises a unique benefit to consumers from the use of the product. Eg: marketer of toothpaste highlight brightness, strong teeth, decaying protection, gum care and fresh breath.
3. **Specific use occasion positioning**: it is based on the use of the product on a particular occasion or for a specific purpose. Eg: medicine: use two times a day/ for external use only/store in a cool place/ use before meal/ noodle is presented as substitutes of tiffin.
4. **User category positioning**: it is based on the target consumer. It involves presenting the product as 'the most suitable' for a particular category of consumers. Product may be targeted at high, middle or low income groups or children, teen age, young, middle aged or old consumers. Eg: remember for quality product and services, remember for low priced product.
5. **Competitive positioning**: our products are promoted better than competitors. Eg: product A is better than product B, pooja soap vs Dhoni soap, coke vs pepsi, NABIL bank vs Investment bank

Process of product positioning

1. Identification of actual competitors: actual competitors are those competitors who can affect the concern firm's policy, strategy and programs. Eg: coke and Pepsi
2. Determine how the competitors are perceived and evaluated: understand how the target consumers evaluate the competitors' performance and program.
3. Determine the competitors' position in the market: understand the status of competitors in the market in comparison to the concern firm and other competitors.
4. Analyze the customers' objective, preferences, tastes, problems, needs etc.: try to identify and understand the main objective of buying the desired product.

   - What features of product consumer like?
   - What are the desires of consumer?
   - What problem they are facing?
   - What actually they need?

5. Select the best position: identify the promotional idea that can motivate and attract the target customers. Whether it should be low price, better quality product, advance technology, economy in use, helps in problem solution or so on. Like dove is not a soap, it is one-quarter moisturizer.
6. Monitor the position: once the promotional idea is used in creating demand for product in the customer's mind may not be successful for all the times. In order to identify the effect of used positioning idea, marketer needs to monitor and evaluate it properly. Eg: coke in winter

Benefits of product positioning

- Create a strong competitive position
- Improve sales
- Define a clearer target market
- Make more effective decision
- Connect to consumer needs
- Create an effective promotional strategy

Questions

1. What do you mean by market segmentation?
2. Give the meaning of target market.
3. What are the process of market segmentation? Mention it.
4. Define product positioning with example.
5. What is niche marketing?
6. Give the meaning of mass marketing.
7. What do you understand by segment evaluation? (2024)
8. Write the different types of target marketing.
9. What are the process of positioning? Mention it.
10. Describe the different types of product positioning. 5
11. Describe the requirement for effective market segmentation. 5
12. Discuss the bases for segmenting consumer markets 10 (2024)
13. Define the term market segmentation. Describe the variables used for industrial market segmentation.